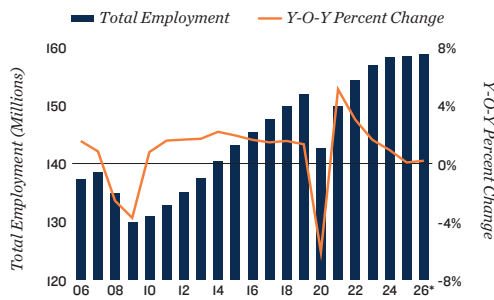
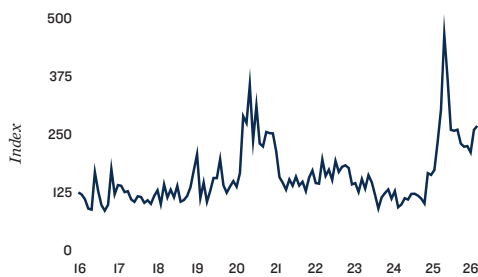


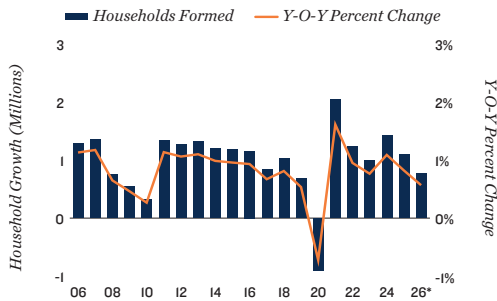
Employment Growth Still Restrained



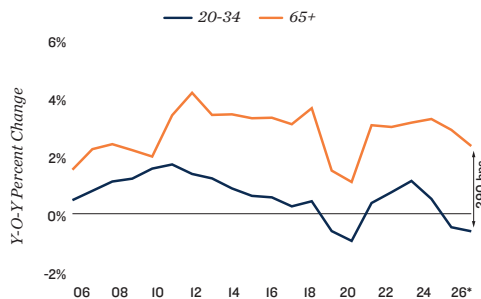
Economic Policy Uncertainty Index Elevated



Household Formation Slowing



Population Growth By Age



Hiring Largely in Limbo, Weighing on Relocations and Household Formation Among Young Adults

Labor market headwinds reduce mobility. Labor market conditions in early 2026 remain tempered, following a challenging 2025, which saw the weakest annual job growth outside of a recession period since 2003. Businesses across industries will likely maintain measured hiring practices amid ongoing trade policy uncertainty and heightened geopolitical conflict, at least in the near term. Workforce additions will still largely focus on replacement rather than expansion. The share of workers unemployed for 27 weeks or longer continued to trend higher in early 2026, marking a notable increase from early-cycle lows in 2023. Meanwhile, job openings fell to 6.5 million in late 2025, nearly 1 million fewer than a year earlier, while the quits rate held near 2 percent, indicating a minimal number of workers voluntarily changing jobs. Should inflationary pressures arise in the near term, the prospect of Federal Reserve rate cuts could diminish, while economic uncertainty continues to weigh on hiring. Even if borrowing costs decline, cautious business sentiment may prolong labor market moderation, reinforcing slower household formation and reduced movement.

Household formation facing shifting factors. After the pandemic, household formation between 2021 and 2025 was slightly above the average recorded during 2010-2019. Looking ahead, however, that growth is expected to slow amid evolving elements. Net international migration into the U.S. declined from roughly 2.7 million in 2024 to 1.3 million in 2025, representing a drop of more than 50 percent. Simultaneously, elevated housing costs and rapid inflation in essential expenses in recent years have made it more difficult for young adults to form independent households. Compounding this trend, 2025 marked the first year of decline in the 20-34 age cohort since 2020, reducing the size of a demographic that disproportionately drives renter mobility, roommate turnover, and other life-stage transitions that typically generate self-storage demand. Still, continued expansion in the age 65 and older population — growing at a rate well above its long-term average — should offset some of that pressure, supporting needs-based usage tied to downsizing and estate transitions.

2026 NATIONAL ECONOMIC OUTLOOK

- **Sun Belt migration cools.** Population flows are still favoring Sun Belt states such as Texas, Florida, and the Carolinas. In contrast, California, New York, and other Northeast states ranked among the largest net out-migration markets. Although these Sun Belt markets continue to benefit from stronger net in-migration, the pace of inflows has moderated from the peak pandemic-era surge.
- **Pricing legislation gains traction.** Regulatory scrutiny around self-storage pricing practices is beginning to emerge. While operators currently remain free to set rents under normal market conditions, several states are pursuing legislation that would limit the size of annual rent hikes or increase pricing transparency.
- **Existing home sales slowing.** Total U.S. housing transactions in 2025 were nearly 15 percent below the annual average recorded between 2015 and 2019, reflecting a broad slowdown in homebuying activity. The shortfall was driven entirely by weaker existing home sales, while new home sales remained modestly above their pre-pandemic average.

Self-Storage Recovery Should Continue, Though Limiting Tenant Turnover Remains a Priority

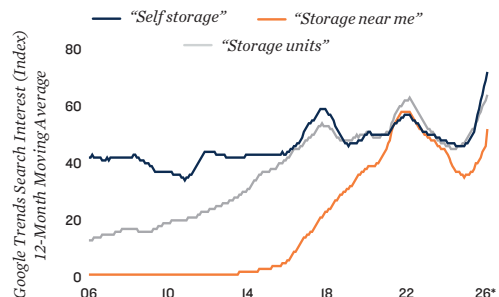
Storage conditions improve as pricing firms and construction slows. After three years of declining self-storage asking rents, the average national rate held flat year-over-year in 2025. Vacancy has also risen only 50 basis points since the start of 2024 to 10.2 percent by year-end 2025, indicating demand has largely kept pace with new supply. With deliveries moderating in 2025 and projected to slow further in 2026, storage fundamentals should continue improving. Structural demand drivers are expected to support leasing, with millennials and Gen Z driving higher storage adoption through lifestyle-driven use. At the same time, baby boomers fuel demand through downsizing and household transitions that may intensify as the oldest boomers turn 80 in 2026. Rising web search interest in late 2025 and early 2026 also points to firmer shopping activity, which could translate into future move-ins. Nevertheless, economic headwinds will likely keep move-ins measured, with metros where household formation remains strong relative to supply growth best positioned to outperform.

Street rate rebound meets ongoing retention risk. Many self-storage operators, particularly REITs, have used aggressive rent discounting to lift physical occupancy amid a soft demand environment. That strategy has weighed on in-place rents as higher-paying tenants churned and were replaced by customers at lower rates, with stabilized rents falling about 5 percent from their third-quarter 2023 peak through the second quarter of 2025. Conditions improved in the second half of 2025, however, as firmer street rates helped stabilized rents record a slight 0.1 percent year-over-year gain, suggesting pricing power may be starting to return. Nevertheless, operators still need to use caution with existing-customer rate increases, as an aggressive approach could raise turnover while move-ins remain modest. That trade-off may be most acute for REITs pushing newer facilities toward economic stabilization, especially as refinancing needs approach. Private operators may be better positioned because lower-basis assets and often less aggressive discounting give them more room to raise rates gradually, limiting turnover and supporting more stable in-place rents.

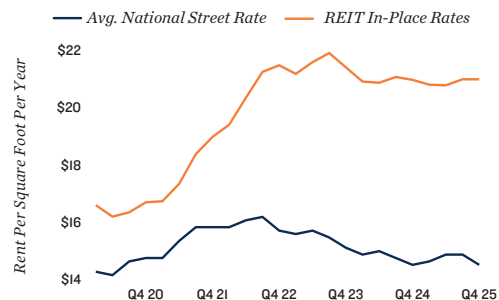
2026 NATIONAL SELF-STORAGE OUTLOOK

- **Size segment divide.** Larger units posted stronger street-rate rent growth than 5-by-5 and 5-by-10-foot spaces in 2025, likely reflecting supply and demand trends. Developers often favored smaller units due to their higher per-square-foot rents, potentially creating oversupply. Bigger spaces also carry greater switching costs, as tenants are more likely to store bulky items or business inventory, raising demand.
- **Smaller living spaces lift storage needs.** High housing costs are pushing more households toward tighter living quarters. The average size of a new single-family home has fallen in recent years to around decade lows, while the share of multifamily construction made up of studio and one-bedroom units reached multi-decade highs in 2024. With less space at home, more households may turn to self-storage.
- **Longer stays could reduce seasonal swings.** The average length of stay at self-storage facilities has risen in recent years as adoption has broadened and more tenants use storage for ongoing lifestyle needs rather than temporary space. That shift may reduce volatility tied to unit turnover, supporting steadier occupancy and revenue.

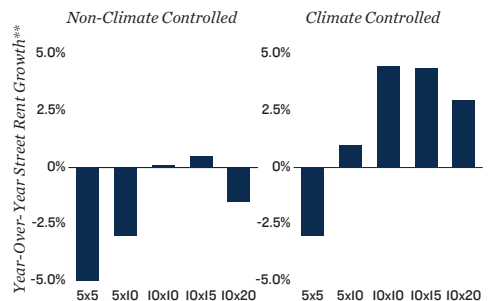
Self-Storage Web Search Interest Improves



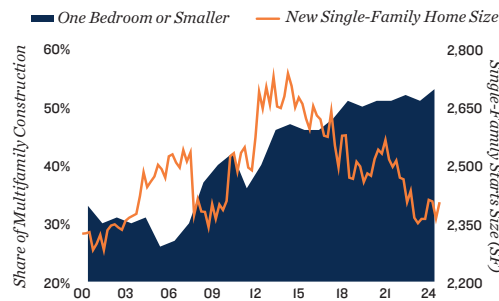
Street vs. In-Place Spread Remains Wide



Larger Units Lead Street Rent Growth



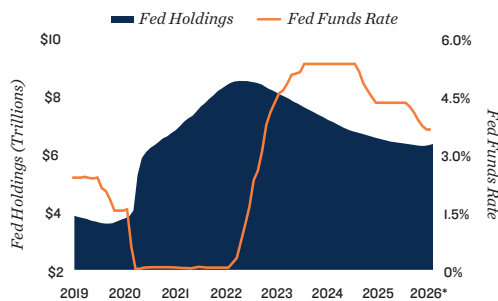
Living Spaces Getting Smaller



* As of February 2026

**2025 Year-over-Year Rent Growth

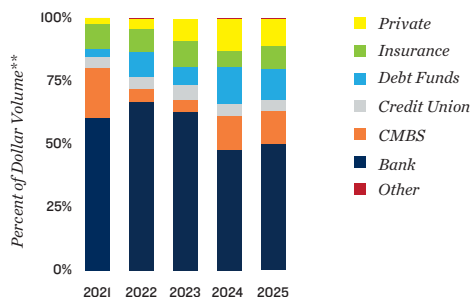
Fed Continues to Reduce Its Balance Sheet



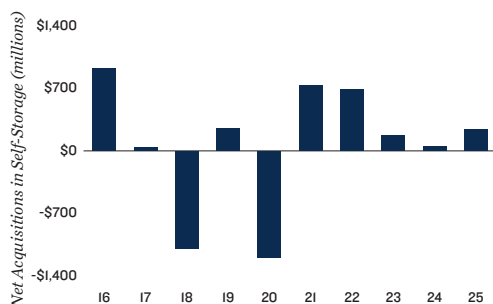
Treasury Yield Trends



Self-Storage Lender Composition



Cross-Border Net Capital Inflow to the US



* As of March 13

** Sales \$2.5 million and greater

Increased Policy Incentives and Shifting Yield Curves Reshape Capital Deployment Considerations

Fiscal policy provides a substantial liquidity tailwind. The permanent return of 100 percent bonus depreciation under the One Big Beautiful Bill Act in July 2025 has improved underwriting standards by reducing the “tax drag” on a borrower’s operational cash flow. For lenders, the immediate expensing of qualifying personal property and site improvements acts as an equity cushion, improving the borrower’s liquidity position and strengthening the asset’s overall debt service capacity. In the self-storage sector — where cost-segregation studies could reclassify up to 50 percent of the total basis into accelerated categories — this front-loaded tax shield provides a substantial cash flow buffer that de-risks the loan during the early years of the term. Furthermore, the shift back to an EBITDA-based interest expense limitation allows for more robust debt service coverage ratios (DSCRs), as the expanded threshold for interest deductibility lowers the after-tax cost of debt. Taken together, these fiscal tailwinds are injecting liquidity into the sector, allowing lenders to maintain tighter spreads while supporting higher-quality, recapitalized loan originations throughout 2026.

Interest rates could remain volatile in the near term. As the Federal Reserve maintained a stable federal funds rate through early 2026 following last year’s cuts, the 10-year treasury yield has remained sticky near the low-4 percent zone. Inflationary concerns linked to tariff policies and federal deficit spending continue to prevent long-term borrowing costs from declining in tandem with short-term rates. These trends are expected to persist; still, potential rate cuts later this year could put downward pressure on lending costs. Additionally, capital remains generally available for self-storage as lenders favor the asset’s low capital expenditure requirements and granular rent rolls. This operational stability provides a reliable foundation for lenders and borrowers to navigate the ongoing period of debt resolution.

2026 CAPITAL MARKETS OUTLOOK

- **Private credit is filling the liquidity gap left by traditional lenders.** As banks continue to navigate increased regulatory oversight and commercial real estate concentration limits, non-bank lenders have emerged as a key source of bridge financing. These funds are increasingly prioritizing self-storage due to its low capital intensity and resilient cash flow, often providing non-recourse debt at tighter spreads than those found in more volatile sectors.
- **The maturity wall is transitioning into an active resolution phase.** While the total volume of maturing commercial debt is projected to decline 9 percent to \$875 billion in 2026, a substantial portion consists of “hard maturities” that have exhausted their previous extension options. This shift is forcing a necessary recapitalization of the market, as owners of assets with lower debt service coverage ratios (DSCRs) must address financing gaps amid a “higher-for-longer” interest rate environment.
- **Geopolitical tensions affecting capital markets.** Escalating international conflicts, particularly in the Middle East, could potentially reignite inflationary pressure. Combined with a volatile tariff landscape, these dynamics could potentially complicate the environment for future rate cuts this year. Additionally, an evolving international landscape could also impact foreign asset deployment in the U.S.

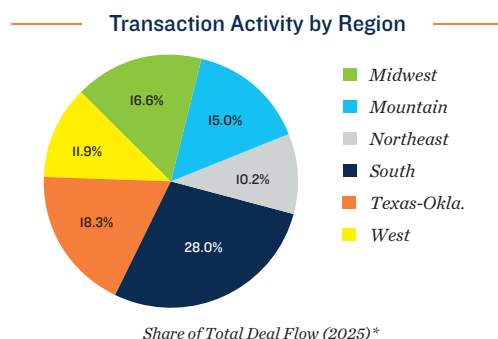
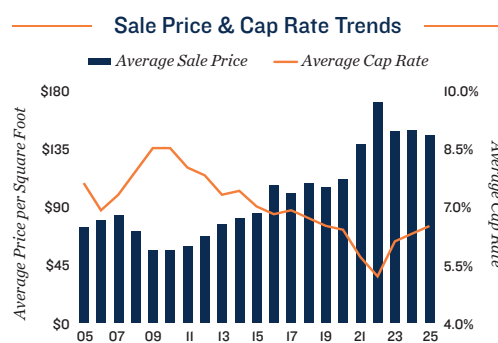
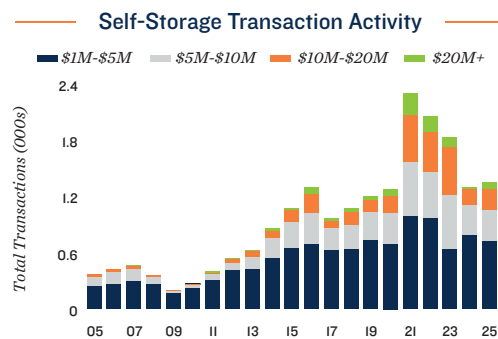
Investors Undeterred by Elevated Vacancy; Deal Flow Distributed More Evenly Across Regions

Sector's durability aids dealmaking. Transaction activity improved modestly in 2025, with the number of property sales ranking fourth-highest on record, outdone only by the historic 2021-2023 stretch. Private investors were responsible for the improvement in deal flow, accounting for a six-year-high share of total sales volume. Activity among these investors highlights the appeal of \$1 million to \$10 million facilities at a time when fewer smaller- to mid-sized properties are being built. As of February, projects featuring less than 50,000 square feet of rentable space accounted for just 6 percent of the nation's active pipeline, limiting new competition for certain existing facilities. REITs, meanwhile, were comparatively active on the acquisition and disposition fronts last year, driving a more than 50 percent increase in trades above \$10 million, many of which involved multiple properties. In 2026, a more favorable supply-demand balance is expected to improve self-storage fundamentals, which should facilitate dealmaking. The sector's ability to outperform other commercial real estate property types in terms of NOI growth during and exiting prior downturns should also reinforce investor sentiment.

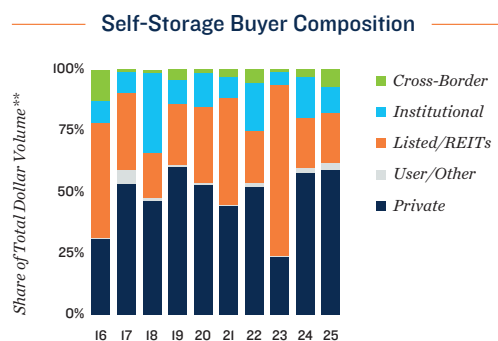
Similar vacancy conditions provide investors with many options. While many active buyers are unlikely to make dramatic adjustments to their acquisition criteria, their scope of preferred locations could shift. Entering 2026, vacancy rates were comparable across the nation's six major regions, ranging from 8.7 to 9.7 percent. Comparable demand for storage space could lead to a more even distribution of sales activity across these areas, with each region accounting for at least 10 percent of total deal flow last year. While trades in the Southeast will continue to dictate overall velocity and sales volume, the Rocky Mountain area may play a larger role after accounting for a record 15 percent share of transactions last year. Below-average vacancy rates and strong population growth prospects should attract investors to Phoenix and Las Vegas, despite sizable construction pipelines in both metros.

2026 INVESTMENT OUTLOOK

- **New properties appeal to broad buyer pool.** Developers added 355 million square feet of space over the past five years, with inventory slated to grow an additional 2.2 percent in 2026. This supply influx will generate opportunities for both private and institutional investors to acquire newer assets across market types, typically on a one-off basis. In tertiary cities and rural areas where modern facilities are rarely delivered, properties built after 2020 commanded an average of \$140 per square foot last year, with many assets trading below \$10 million. Acquiring similar properties below this price threshold may be more difficult in major markets. Here, the mean price point for newer assets exceeded the tertiary-rural metric by 20 percent in 2025.
- **Vehicular storage a targeted niche.** More than 11 million U.S. households own an RV, with California, Texas, Florida, Ohio, and Michigan ranking as the top states for ownership. Concurrently, the number of registered boats nationwide ranges from 11.6 to 13 million. These recreational vehicle dynamics will drive renter and investor demand for storage facilities catering to RV and boat storage, with options outside major metros often available for less than \$100,000 per square foot.



Share of Total Deal Flow (2025)*



* Includes sales \$1 million and greater

** Includes sales \$2.5 million and greater